

Return Fraud and Abuse Prevention Standard

Policy #: 2023-CO-RA-001

Subject: Return Abuse Policy

Effective Date: October 15, 2023

1. Return Rate Threshold

1.1 An account will be flagged for review if the return rate exceeds 15% of total orders processed within a rolling 12-month period.

1.2 Once flagged, the account will be subject to additional scrutiny and potential restrictions on future returns.

2. Serial Refund Requesters

2.1 Customers who submit more than 5 refund requests within a 30-day period will be classified as serial refund requesters.

2.2 Accounts classified as serial refund requesters will be restricted from initiating further returns until a review of their account has occurred, which must be completed within 5 business days of the account being flagged.

2.3 If a serial refund requester repeatedly exceeds the threshold of 5 refund requests, their account may be suspended pending a detailed investigation.

3. Prohibition on Disclosure

3.1 Support agents are strictly prohibited from disclosing to customers that their account is flagged for return abuse or any related review process.

3.2 Agents must respond to inquiries regarding account status without referencing return abuse flags, using only general language regarding account reviews as necessary.

4. Escalation Route for Suspected Fraud

4.1 Any support agent who suspects fraudulent activity related to returns must escalate the matter to the Fraud Management Team (FMT) immediately via internal ticket (Priority Level: High).

4.2 The escalation must include all relevant details, including customer account information, nature of the suspected fraud, and any pertinent transaction histories.

4.3 The FMT will respond to the escalation within 48 hours and may initiate a comprehensive investigation into the customer's account.

4.4 If fraud is confirmed, appropriate actions, including account suspension or permanent ban, will be taken in accordance with the Kartway Fraud Management Protocol (Policy #: 2023-CO-FM-002).

5. Review and Update

5.1 This policy will be reviewed annually or as required to ensure compliance and effectiveness. Any updates will be communicated to all support agents within 5 business days of the review completion.

End of Policy